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THE GOVERNMENT SAVINGS PROMOTION ACT, 1873

Act No. 5 of 1873

(formerly "The Government Savings Banks Act, 1873", renamed by the Finance Act, 2018)

Study Material for LDCE IP & PS Group 'B' Departmental Examinations

Verified against primary sources • Updated to August 2026

DISCLAIMER: This booklet has been prepared strictly from an examination point of view. Every statutory figure, section number, date and citation has been checked against primary sources (the India Code bare Act and the official Gazette notifications of the Government Savings Promotion General Rules, 2018 and its amendments). It is nonetheless a study aid only. For any official action, always rely on the current Gazette text, the latest SB Orders of the Department of Posts and the scheme rules in force.

About this booklet

The Government Savings Promotion Act, 1873 is the **“umbrella” Act** that governs every small-savings account and certificate operated through the Post Office Savings Bank and other Government Savings Banks. Originally titled the *Government Savings Banks Act, 1873*, it was substantially recast and renamed by **Part I of Chapter VIII of the Finance Act, 2018 (13 of 2018), with effect from 1 April 2018**. The 2018 recast folded the earlier Government Savings Certificates Act, 1959 and the Public Provident Fund Act, 1968 into this single Act and empowered the Central Government to frame, amend or discontinue schemes by simple notification.

This edition presents the Act as it now stands, explains each provision in plain terms, and flags every point where the operative **rule** (the Government Savings Promotion General Rules, 2018) differs from the bare Act — a distinction that trips up most candidates. Use the flags below to read at a glance:

How to read the flags in this booklet

- **✓ VERIFIED** — confirmed against the India Code bare Act or the official Gazette notification cited alongside.
- **▣ CURRENCY NOTE** — a point where the position has changed since 2018, or where the Rules override the bare Act. High-value for the exam.
- **◇ PLAIN TERMS** — a working explanation of what the provision means in day-to-day post-office practice.

The Act at a glance

Item	Position (verified)
Short title now	Government Savings Promotion Act, 1873 (renamed from “...Banks Act” by Finance Act 2018, s. 115)
Act number	Act 5 of 1873 · assent 28 January 1873
Last amendment to the Act	Finance Act, 2018 (13 of 2018), Ch. VIII Part I, w.e.f. 1-4-2018 — no amendment to the Act itself since
Extent	The whole of India
Total sections	1 to 16 (with 3A, 3B, 4A, 7A, 12A, 14A) + a Schedule (Parts A & B)
Operative rules	Govt. Savings Promotion General Rules, 2018 — G.S.R. 1003(E) dt. 5-10-2018, as amended (latest traced: 2025)
Death-claim limit (no legal evidence)	Rs. 5,00,000 — Rule 15(6), GSPR 2018 (as amended 2023)

PRELIMINARY

Sections 1 – 3B

Section 1 – Short title and local extent

This Act may be called the Government Savings **Promotion** Act, 1873. It extends to the whole of India.

◇ Plain terms & history

The single word “**Promotion**” replaced “**Banks**” (Finance Act 2018, s. 115) — the Act is no longer just about banks holding deposits; it is about promoting household savings through notified schemes. The long title was likewise substituted (s. 114) to read: “*An Act to regulate and channelise the savings from general public into Government Savings Schemes.*”

The former exception “*except the State of Jammu and Kashmir*” was removed long ago by Act 62 of 1956; the extent is simply the whole of India. (The Act was separately brought into force in Goa, Daman & Diu (1962), Dadra & Nagar Haveli (1965), Pondicherry (1963) and Lakshadweep (1967) by their respective regulations, per the India Code footnotes.)

Section 2 – [Omitted]

Section 2 formerly read “*Act not to apply to deposits in Anchal Savings Bank*” (the erstwhile Travancore–Cochin savings banks). It was **omitted by the Finance Act, 2018 (s. 117), w.e.f. 1-4-2018**.

Section 3 – Definitions

Section 3 (wholly substituted by the Finance Act 2018, s. 118) defines the working vocabulary of the Act. The definitions worth memorising:

Term	Meaning under Section 3
account [3(a)]	an account opened under any of the Savings Schemes.
administrator [3(b)]	as defined in s. 2(a) of the Indian Succession Act, 1925 — a person appointed by a competent authority to administer a deceased’s estate where there is no executor.
Authorised Officer [3(c)]	for a Post Office Savings Bank — an officer authorised by the Director General, Posts; for SBI / a banking company / any other notified company or institution — an officer authorised by that body. (This term replaced the old word “Secretary” throughout the Act — Finance Act 2018, s. 116.)
banking company [3(d)]	as defined in s. 5(c) of the Banking Regulation Act, 1949.
depositor / deposit [3(e)]	an individual by whom, or on whose behalf, money is deposited in a Government Savings Bank; the money so deposited is the “deposit”.

Term	Meaning under Section 3
executor [3(f)]	as defined in s. 2(c) of the Indian Succession Act, 1925 — a person to whom the testator confides the execution of his last Will.
Government Savings Bank [3(g)]	(i) a Post Office Savings Bank; or (ii) SBI, a banking company or any other company/institution as the Central Government may notify in the Official Gazette.
guardian [3(h)]	in relation to a minor / person of unsound mind: (i) either parent; (ii) failing that, a person entitled in law to have care of the property; or (iii) a legal guardian appointed by a court.
minor [3(i)]	a person who has not attained majority under the Indian Majority Act, 1875.
prescribed [3(j)]	prescribed by rules made under this Act.
Savings Schemes [3(k)]	the Government Savings Schemes — including Savings Certificates and the Public Provident Fund Scheme — listed in the Schedule.
Schedule [3(l)]	the Schedule annexed to this Act.

Section 3A — Framing of Savings Schemes

The Central Government may, by notification in the Official Gazette, (1) frame new schemes or amend/discontinue existing ones to promote household savings, and (2) include, omit or amend schemes in the Schedule. A scheme-notification may cover: eligibility; terms & conditions of deposit; manner of calculation, frequency of payment and rate of interest; maximum and minimum limits of deposit; premature closure, withdrawal, loans against deposit and transfer; and any other provision suited to the scheme's design.

◆ Plain terms

This is the engine of the modern Act: schemes such as SCSS, SSA, KVP, NSC, MIS, RD, TD and PPF are now created and modified by executive notification under s. 3A — not by fresh legislation. That is why the Rules change frequently while the Act stays still.

Section 3B — Deposit by a minor

- A minor who has attained **ten years** may open and operate an account, if the scheme permits.
- Otherwise the **guardian** may open and operate the account on the minor's behalf until the minor becomes a major.

DEPOSITS BELONGING TO ESTATES OF DECEASED PERSONS

Sections 4 – 8

Section 4 — Nomination by depositor

- 4(1): The depositor(s) shall designate **one or more individuals** as nominee(s), entitled — on the death of the sole depositor or of all joint depositors — to receive the sum

due, either as owner or as trustee, to the extent specified. If the depositor is a minor or of unsound mind, the nominee is designated by the guardian.

- 4(2): A nomination becomes **void** if the nominee predeceases the depositor (or, where there are several, if all predecease).
- 4(3): Where the nominee is a minor, the depositor may appoint, in the prescribed manner, a person to receive the deposit if the depositor dies during the nominee's minority.
- 4(4): A **transfer of deposit** (where a scheme permits it) automatically cancels any earlier nomination.

■ Currency note — the Rules cap nominees at four

The bare Act says “one or more” nominees. The operative **Rule 14, GSPR 2018** restricts this to **not more than four individuals**, and lets the depositor specify each nominee's share and whether the nominee takes as beneficiary (absolute owner) or as trustee for the legal heirs. Nomination is made in **Form 10**.

Section 4A — Payment on death of depositor

- 4A(1): If a valid nomination is in force at death, the deposit is paid to the **nominee**.
- 4A(2): Where the nominee is a minor, the deposit is paid (a) to the person appointed under s. 4(3), if any; else (b) to the minor's guardian for the minor's use.
- 4A(3): Where a deposit is payable to two or more nominees and one dies, it is paid to the **surviving nominee(s)**.
- 4A(3A): Where a deposit of a minor / person of unsound mind who dies had no nominee immediately before the 2018 commencement, it is paid to the **guardian**.
- 4A(4): If there is **no nomination** in force and probate / letters of administration / a succession certificate is not produced **within three months** of death, then — if the deposit does not exceed the prescribed limit — the Authorised Officer may pay it to a person appearing to him entitled to receive it or to administer the estate, following the prescribed procedure. (The old clause (b) and old sub-section (5) were omitted in 2018.)

■ Currency note — “three months” (Act) vs “six months” (Rule): read this carefully

The bare Act, s. 4A(4), still says **three months**. The operative procedure, however, is set by **Rule 15(6) of the GSPR 2018**, which prescribes **six months** from the date of death for producing legal evidence. In post-office practice the **six-month** rule is what is applied.

So the correct answer depends on how the question is framed:

- “Under Section 4A(4) of the Act ...” → three months.
- “As per the Rules / for settlement of a deceased claim ...” → six months.

✓ Verified — the Rs. 5,00,000 death-claim limit

Under s. 4A(4) the Act now says only “*such limit as may be prescribed.*” The prescribed limit is **Rs. 5,00,000 (Rupees five lakh)** — Rule 15(6), GSPR 2018, as substituted by the **Government Savings Promotion General (Second Amendment) Rules, 2023, G.S.R. 488(E) dated 3 July 2023** (circulated by DoP vide SB Order 16/2023).

How a deceased claim without nomination now works:

- If the eligible balance is **up to Rs. 5 lakh** — the Authorised Officer may pay the rightful claimant, for reasons recorded in writing, on an application in **Form-11** with death certificate, passbook/receipt, and — as substituted in 2023 — Affidavit (Form-13), Letter of Disclaimer (Form-14) and Bond of Indemnity (Form-15). A **legal heir certificate** issued by a revenue authority not below Tahsildar is now also accepted.
- If the balance is **above Rs. 5 lakh** — payment is made only on production of probate / letters of administration / succession certificate (or the legal heir certificate).
- Where a **dispute** is raised before payment, the claim is settled only on a court-issued succession certificate.

Historical figures (for context only — do not quote as current)

The s. 4A(4) limit was **Rs. 5,000** originally, raised to a fixed money figure by Act 56 of 1985, and finally replaced by “*as may be prescribed*” in 2018 (now Rs. 5 lakh by rule). The s. 8 court-fee threshold likewise changed from a fixed **Rs. 3,000** to “*the prescribed limit*” (Finance Act 2018, s. 125).

Section 5 — Payment to be a discharge

- 5(1): Any payment made under the foregoing provisions is a **full discharge** of all further liability for the money so paid.
- Saving of right of executor: nothing bars an executor / administrator / representative from recovering, from the person paid, the balance left after deducting debts and demands lawfully discharged in due course of administration.
- Saving of right of creditor: every creditor or claimant against the estate may recover his debt from money paid under this Act that remains unadministered in that person’s hands — as if that person had obtained letters of administration.

Section 6 — Security for due administration

The Authorised Officer may take such security as he thinks necessary from any person to whom he pays money under **s. 4A(4)**, for the due administration of that money, and may assign the security to any person interested in the administration.

Section 7 — Power to administer oath; penalty for false statements

- To ascertain a claimant's entitlement, the Authorised Officer may take evidence on **oath or affirmation** under the law relating to oaths.
- Penalty: a person who makes a false statement on such oath, knowing or believing it false (or not believing it true), is guilty of an offence under **section 193 of the Indian Penal Code**.

■ Currency note — IPC repealed; read s. 193 as BNS s. 229

The Act still literally cites “*section 193 of the Indian Penal Code, 1860.*” The IPC has been repealed and replaced by the **Bharatiya Nyaya Sanhita, 2023, in force from 1 July 2024**. By s. 8 of the General Clauses Act, 1897, that reference is now read as the corresponding provision — **Section 229 of the BNS, 2023 (Punishment for false evidence)**. The Act's own text has not yet been formally amended.

Section 7A — Power to call for information

The Central Government, through any designated authority, may call for such information, documents and evidence as it deems necessary in relation to any account, for carrying out the purposes of the Act. (*Inserted by Finance Act 2018, s. 124.*)

Section 8 — Deposit excluded in computing court fees

Where a deceased depositor's deposit does not exceed the prescribed limit, that amount is excluded when computing the fee chargeable under the **Court-Fees Act, 1870** on probate / letters of administration / succession certificate. The claimant must exhibit to the court a certificate of the deposit amount, signed by the Authorised Officer, which the court receives as evidence of that amount.

MINORS, LUNATICS & MISCELLANEOUS

Sections 9 – 16

Section 9 — [Omitted]

Formerly “*Act not to apply to deposits belonging to estates of European soldiers or deserters.*” Omitted by the Government Savings Banks (Amendment) Act, 1959 (45 of 1959), s. 7.

Section 10 — Payment of deposits to minor or guardian

A deposit made by, or on behalf of, a minor may be paid to the minor personally if the minor made it; or to the minor's guardian for the minor's use if it was made by anyone other than the minor — together with interest accrued. The receipt of the minor or guardian is a sufficient discharge.

Section 11 — [Omitted]

Formerly “*Legalization of like payments heretofore made.*” Omitted by the 1959 Amendment Act, s. 7.

Section 12 — Payment of deposits belonging to lunatics

If a depositor becomes insane or otherwise incapable of managing his affairs, and this is proved to the Authorised Officer's satisfaction, the officer may pay out of the deposit to the guardian, whose receipt is a sufficient discharge. Where a Committee or Manager of the depositor's estate has been duly appointed, payment is made to that Committee or Manager.

Section 12A — Operation of account by differently abled persons

Any depositor suffering from physical infirmity, including blindness, may operate and make a deposit through any **literate individual whom he authorises**. (*Inserted by Finance Act 2018, s. 128.*)

Section 13 — [Omitted]

Section 13 formerly dealt with "*Payment of married women's deposits*" (and the sub-heading "*Deposits made by Married Women*"). Both the heading and the section were omitted by the Finance Act, 2018 (ss. 129–130).

Section 14 — Protection of action taken in good faith

No suit or legal proceeding lies against the Authorised Officer or any other officer of the Central Government for anything done, or intended to be done, in good faith under this Act.

Section 14A — Protection against attachment

✓ **Verified — a provision missing from many notes; learn it**

"The amount standing to the credit of any depositor in the **Public Provident Fund Scheme** shall not be liable to attachment under any decree or order of any court in respect of any debt or liability incurred by the depositor."

Inserted by the Finance Act, 2018 (s. 132), w.e.f. 1-4-2018. In short: a depositor's **PPF balance is protected from court attachment** for the depositor's own debts. This carried forward the old s. 3 of the PPF Act, 1968 into the umbrella Act.

Section 15 — Power to make rules

- 15(1): The Central Government may, by notification, make rules to carry out the purposes of the Act.
- 15(2): Rules may provide, among other things, for: conditions as to interest/discount [(b)]; non-accrual of interest when maximum limits are exceeded and recovery of excess interest as arrears of land revenue [(c)]; persons to whom and manner in which deposits are paid [(d)]; form, registration, variation and cancellation of nominations [(e)–(f)]; fees for services [(g)]; appointment under s. 4(3) [(h)]; the limit and procedure under s. 4A(4)(a) [(i)]; the mode of making deposits — physical, electronic or through IT tools [(j)]; benchmark for interest rates to ensure financial sustainability [(k)]; amount excluded in computing court fees for s. 8 [(l)]; grievance redressal and dispute

settlement [(m)]; and any other prescribed matter [(n)]. (Clause (a) was omitted in 2018.)

- 15(3): Every rule must be laid before each House of Parliament for a total of **thirty days** (one or more sessions); Parliament may modify or annul it, without prejudice to anything already done under it.

◇ Plain terms — where the day-to-day detail actually lives

Section 15 is the basis for the **Government Savings Promotion General Rules, 2018** (G.S.R. 1003(E) dt. 5-10-2018) and for each individual scheme's 2019 rules (POSA, RD, TD, MIS, SCSS, SSA, NSC-VIII, KVP, PPF — all notified 12-12-2019). Nomination limits, the Rs. 5 lakh death-claim rule, service fees, KYC and the like are all rule-level detail under s. 15 — which is why they change without the Act changing.

Section 16 — Repeal and savings

- 16(1): The **Government Savings Certificates Act, 1959 (46 of 1959)** and the **Public Provident Fund Act, 1968 (23 of 1968)** are repealed.
- 16(2): Despite repeal, everything done under the repealed Acts (rules, notifications, orders, instruments, certificates, deposits, accounts and pending court proceedings) continues and is deemed to have been done under the corresponding provisions of this Act.
- 16(3): The repeal does not prejudicially affect the interests of depositors who made deposits, held certificates or contributed under the repealed Acts before the 2018 commencement.

THE SCHEDULE

[See section 3A]

The Schedule lists the schemes to which the Act applies, in two parts. The list below is reproduced faithfully from the India Code bare Act.

PART A — EXISTING SAVINGS SCHEMES

#	Scheme
1	Post Office Savings Account
2	National Savings Monthly Income (Account)
3	National Savings Recurring Deposit
4	Sukanya Samriddhi Account
5	National Savings Time Deposit (1, 2, 3 and 5 years)
6	Senior Citizens' Savings Scheme
7	Savings Certificates — (a) Kisan Vikas Patra (discontinued 1-12-2011, restarted 23-9-2014); (b) National Savings Certificates (VIII Issue)

#	Scheme
8	Public Provident Fund Scheme
■ Currency note — PM CARES for Children & Mahila Samman are NOT in the statutory Schedule The bare Act's Part A ends at item 8 (PPF). Two later schemes are commonly (but wrongly) added to it: ● PM CARES for Children Scheme, 2021 — introduced by executive scheme on 6-10-2021; operated under the Act's framework but not inserted as a numbered item in the statutory Schedule. ● Mahila Samman Savings Certificate, 2023 — a limited-window scheme, open only from 1-4-2023 to 31-3-2025. Per DEA O.M. F.No.14/1/2019-NS-Part(1) dated 27-3-2025, no fresh deposits are accepted after 31-3-2025 — so it is effectively closed, not an ongoing "existing" scheme. Both exist under the Act, but neither appears as a Schedule entry in the primary text. Treat them as scheme-level, not Schedule-level.	

PART B — DISCONTINUED SAVINGS SCHEMES

Thirty-five entries (note that item 6 nests three sub-accounts):

Discontinued schemes	...continued
1. National Savings Scheme, 1987	19. 10-Year Treasury Savings Deposits Certificates
2. National Savings Scheme, 1992	20. 12-Year National Plan Savings Certificates
3. Block Deposit Account	21. 15-Year Annuity Certificates (II series)
4. Defence Savings Account	22. 10-Year Defence Deposit Certificates
5. Gift Coupons	23. 12-Year National Defence Certificates
6. Cumulative Time Deposit Accounts — (a) 5-year (b) 10-year (c) 15-year account	24. 10-Year National Savings Certificates (I-Issue)
7. 5-year Prize Bonds	25. 7-Year National Savings Certificates (II-Issue)
8. 5-year Premium Prize Bonds	26. 7-Year National Savings Certificates (III-Issue)
9. 5-year Compulsory Deposit Account Scheme, 1963	27. 7-Year National Savings Certificates (IV-Issue)
10. 5-year Fixed Deposit Account	28. 7-Year National Savings Certificates (V-Issue)
11. 5-Year Cash Certificates	29. 12-Year National Savings Annuity Certificates
12. 10-Year Defence Savings Certificates	30. 5-Year National Development Bonds
13. 12-Year National Savings Certificates	31. 6-Year National Savings Certificates (VI-Issue)
14. 7-Year National Savings Certificates	32. 6-Year National Savings Certificates (VII-Issue)
15. 5-Year National Savings Certificates	33. 10-Year Social Security Certificates
16. 10-Year Treasury Savings Deposits Certificates	34. Indira Vikas Patras
17. 15-Year Annuity Certificates (I series)	35. 10-Year National Savings Certificates (IX-Issue)
18. 10-Year National Plan Savings Certificates	

CURRENCY & AMENDMENT RECORD

What was checked, and against what

Every currency-sensitive claim in this booklet was verified in August 2026 against the sources below.

Point	Position	Primary source / instrument
Act name & recast	Renamed "...Promotion Act"; ss. 3, 4, 4A, 7A, 12A, 14A, 15, 16 & Schedule recast	Finance Act, 2018 (13 of 2018), Ch. VIII Pt. I, w.e.f. 1-4-2018; India Code bare Act (a1873-05)
Latest amendment to the Act	None after 2018 — Act text stable	India Code (verified Aug 2026)
Death-claim limit (no legal evidence)	Rs. 5,00,000	Rule 15(6), GSPR 2018, as subs. by G.S.R. 488(E) dt. 3-7-2023 (Second Amdt. Rules 2023)
Period to produce legal evidence	Act: 3 months · Rule: 6 months (operative)	s. 4A(4) Act vs Rule 15(6) GSPR 2018
Legal heir certificate route	Now accepted (revenue authority ≥ Tahsildar)	Second Amdt. Rules 2023, G.S.R. 488(E) dt. 3-7-2023
Max nominees	Four (Act says "one or more")	Rule 14, GSPR 2018
False-statement offence	IPC s. 193 → read as BNS s. 229	BNS, 2023 in force 1-7-2024; Gen. Clauses Act s. 8
GSPR 2018 amendment chain	1003(E)/2018 → 238(E)/31-3-2023 → 488(E)/3-7-2023 → 214(E)/2025	Official Gazette notifications
Nomination change/cancellation fee	Free	GSPR (Amdt.) Rules 2025, G.S.R. 214(E)
PM CARES for Children / Mahila Samman	Not in statutory Schedule; MSSC closed to new deposits 1-4-2025	India Code Schedule; DEA O.M. 27-3-2025

Common exam traps & memory hooks

- **Name trap:** the Act is the Government Savings **Promotion** Act (not "Banks") since 1-4-2018.
- **3 vs 6 months:** Act 4A(4) = 3 months; operative Rule 15(6) = 6 months. Match the answer to whether the question quotes the Act or the Rules.
- **Rs. 5 lakh:** the deceased-claim limit without legal evidence — a Rule figure, not an Act figure.
- **Section 14A:** PPF balance is protected from attachment for the depositor's debts — easy to forget, easy marks.

- **Age 10:** a minor of ten years may operate an account (s. 3B); below ten, only through the guardian.
- **Nominees:** Act “one or more”; Rule caps at four.
- **s. 193 IPC = BNS 229** since 1-7-2024.
- **Schedule = two parts:** Part A existing (8 items, ends at PPF), Part B discontinued (35 items). SCSS is A-6; PPF is A-8; Indira Vikas Patras & 10-Yr Social Security Certificates are in Part B.

PRACTICE QUESTIONS

50 MCQs · answer key at the end

1. The 1873 Act was renamed the “Government Savings Promotion Act, 1873” by —
 - a) The Finance Act, 1959
 - b) The Govt. Savings Amendment Act, 2005
 - c) The Finance Act, 2018
 - d) The Banking Regulation Act, 1949
2. The extent of the Government Savings Promotion Act, 1873 is —
 - a) Whole of India except J&K
 - b) Whole of India except Sikkim
 - c) The whole of India
 - d) Union Territories only
3. The recast of the Act by the Finance Act, 2018 took effect from —
 - a) 1 April 2017
 - b) 1 April 2018
 - c) 1 July 2018
 - d) 1 April 2019
4. “Administrator” under Section 3 is defined with reference to —
 - a) The RBI Act
 - b) The Indian Succession Act, 1925
 - c) The Banking Regulation Act, 1949
 - d) The Indian Contract Act, 1872
5. For a Post Office Savings Bank, the “Authorised Officer” is an officer authorised by —
 - a) The Finance Minister
 - b) The Director General, Posts
 - c) The Postmaster General
 - d) The Sub-Postmaster
6. The term “Authorised Officer” replaced which earlier word throughout the Act?
 - a) Secretary
 - b) Postmaster
 - c) Manager
 - d) Collector
7. A “minor” under the Act is defined by reference to —
 - a) The Indian Minority Act, 1990
 - b) The Indian Majority Act, 1875
 - c) The Juvenile Justice Act, 2015
 - d) The Guardians and Wards Act, 1890
8. Under Section 3B, a minor may independently open and operate an account on attaining —
 - a) 18 years
 - b) 14 years

19. Which section empowers the Central Government to call for information about any account?

- a) Section 7A
- b) Section 15
- c) Section 3A
- d) Section 12

20. Under Section 10, where a deposit was made by a person other than the minor, it may be paid to —

- a) The minor only
- b) The guardian for the use of the minor
- c) The District Collector
- d) The Authorised Officer

21. Section 12A permits a physically infirm (incl. blind) depositor to operate through —

- a) A lawyer
- b) Any literate individual authorised by him
- c) Only a blood relative
- d) A bank employee

22. Which section protects a depositor's PPF balance from attachment by a court?

- a) Section 12A
- b) Section 14
- c) Section 14A
- d) Section 16

23. Who may frame new Savings Schemes under Section 3A?

- a) Reserve Bank of India
- b) Director General, Posts
- c) The Central Government
- d) State Bank of India

24. Section 14 protects officers for action taken in —

- a) Negligence
- b) Good faith
- c) Emergency
- d) Public interest litigation

25. Rules under Section 15 must be laid before each House of Parliament for a total of —

- a) 60 days
- b) 30 days
- c) 90 days
- d) 14 days

26. The two Acts repealed by Section 16 (as recast in 2018) are —

- a) The PPF Act, 1968 and the Govt. Savings Certificates Act, 1959
- b) The Post Office Act, 1898 and the RBI Act
- c) The Banking Regulation Act and the PPF Act
- d) The UTI Act and the Savings Bank Act

27. The Schedule to the Act is divided into —

- a) One part
- b) Two parts (A and B)
- c) Three parts
- d) Four parts

28. Which scheme appears in Part B (discontinued) of the Schedule?

- a) Sukanya Samriddhi Account
- b) Senior Citizens' Savings Scheme
- c) Indira Vikas Patras
- d) Public Provident Fund

29. "Banking company" is defined with reference to —

- a) The Companies Act, 2013
- b) The RBI Act, 1934
- c) The Banking Regulation Act, 1949
- d) The Negotiable Instruments Act, 1881

30. If a sole nominee predeceases the depositor, the nomination becomes —

- a) Void
- b) Transferable to the nominee's heirs
- c) Valid for 3 months
- d) Payable to the State

31. Which is TRUE of the Mahila Samman Savings Certificate, 2023?

- a) It is a permanent item in the statutory Schedule
- b) It accepts fresh deposits after 1-4-2025
- c) It was open only 1-4-2023 to 31-3-2025 and is not a Schedule entry
- d) It replaced the PPF Scheme

32. If a deposit is payable to several nominees and one dies, payment goes to —

- a) Heirs of the deceased nominee
- b) The surviving nominee(s)
- c) The Government
- d) A frozen account

33. Under Section 6, before paying money under s. 4A(4), the Authorised Officer may —

- a) Take a photograph
- b) Take security for due administration
- c) Take a thumb impression only
- d) Take a video recording

34. "Government Savings Bank" under Section 3(g) includes —

- a) Only Post Offices
- b) Only SBI
- c) A Post Office Savings Bank and any other notified company/institution
- d) Only nationalised banks

35. An "executor" under Section 3(f) is —

- a) A person appointed by a court to manage property
- b) A person to whom the testator confides execution of the last Will
- c) A government officer
- d) A legal heir

36. A minor who has NOT attained ten years —

- a) May open an account independently
- b) Cannot have an account at all
- c) May have one opened and operated by the guardian
- d) Needs Head Postmaster's permission

37. Section 8 excludes a deposit in computing court fees where —

- a) It is in a Post Office
- b) It does not exceed the prescribed limit
- c) The depositor was a soldier
- d) Death occurred before 2018

38. Per the Schedule, Kisan Vikas Patra was restarted in —

- a) 2011
- b) 2014
- c) 2018
- d) 2023

39. The status of “10-Year Social Security Certificates” in the Schedule is —

- a) Existing (Part A)
- b) Discontinued (Part B)
- c) Proposed
- d) Merged

40. Does “PM CARES for Children Scheme, 2021” appear as an entry in the statutory Schedule?

- a) Yes, in Part A
- b) Yes, in Part B
- c) No — it operates under the Act but is not a Schedule entry
- d) It has its own Act

41. The power to set a benchmark for interest rates on deposits lies with —

- a) The RBI Governor
- b) The Central Government
- c) The Indian Banks Association
- d) SEBI

42. If a depositor becomes insane, payment may be made to —

- a) Any neighbour
- b) The guardian or an appointed committee/manager
- c) The police
- d) No one — the account is frozen

43. The tenures under “National Savings Time Deposit” are —

- a) 1, 2, 3 and 5 years
- b) 5 and 10 years only
- c) 6 months and 1 year
- d) 10, 15 and 20 years

44. The “mode of making deposits” (physical/electronic) is provided for under —

- a) Section 3
- b) Section 10
- c) Section 15 (power to make rules)
- d) Section 20

45. Is the Public Provident Fund Scheme a Savings Scheme under this Act?

- a) No, it has its own Act
- b) Yes — listed in the Schedule and within s. 3(k)
- c) Only for government employees
- d) Only if opened in SBI

46. Under Section 4A(2), if the nominee is a minor, the deposit is paid to —

- a) The minor directly
- b) The person appointed under s. 4(3) or the guardian
- c) The court registry
- d) A trust fund

47. “Senior Citizens’ Savings Scheme” is listed in Part A of the Schedule at item —

- a) 4
- b) 5
- c) 6
- d) 8

48. Under the 2023 amendment, which additional document may now be accepted for a deceased claim (up to Rs. 5 lakh)?

- a) A gazetted officer’s note
- b) A legal heir certificate from a revenue authority not below Tahsildar
- c) An FIR
- d) A bank guarantee

49. Which body notifies a “Government Savings Bank” in the Official Gazette?

- a) The Supreme Court
b) The Central Government
c) NITI Aayog
d) The Press Council

50. The grievance-redressal / dispute-settlement mechanism under the Act is provided for by —

- a)** The Central Government (by rules under s. 15)
- b)** A District Forum
- c)** The Ombudsman
- d)** The Lokpal

Answer Key

1	2	3	4	5	6	7	8	9	10
c	c	b	b	b	a	b	c	c	b
11	12	13	14	15	16	17	18	19	20
c	b	b	c	c	c	b	c	a	b
21	22	23	24	25	26	27	28	29	30
b	c	c	b	b	a	b	c	c	a
31	32	33	34	35	36	37	38	39	40
c	b	b	c	b	c	b	b	b	c
41	42	43	44	45	46	47	48	49	50
b	b	a	c	b	b	c	b	b	a

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